

Tauchen versus Farmer--Toda, 11-point grid ($n_{sd} = 2$)

Regime 0: $\sigma = 0.0243$. Moment match 9/11 rows.

i	z	P(same) T	P(same) FT	P(neigh) T	P(neigh) FT	matched
0	-0.429	0.953	0.953	0.047	0.047	no
1	-0.341	0.929	0.923	0.071	0.077	yes
2	-0.252	0.930	0.924	0.070	0.076	yes
3	-0.164	0.931	0.924	0.069	0.076	yes
4	-0.076	0.931	0.924	0.069	0.076	yes
5	0.013	0.931	0.924	0.069	0.076	yes
6	0.101	0.930	0.924	0.070	0.076	yes
7	0.189	0.929	0.923	0.071	0.077	yes
8	0.278	0.928	0.923	0.072	0.077	yes
9	0.366	0.926	0.922	0.074	0.078	yes
10	0.454	0.945	0.945	0.055	0.055	no

Regime 1: $\sigma = 0.0892$. Moment match 11/11 rows.

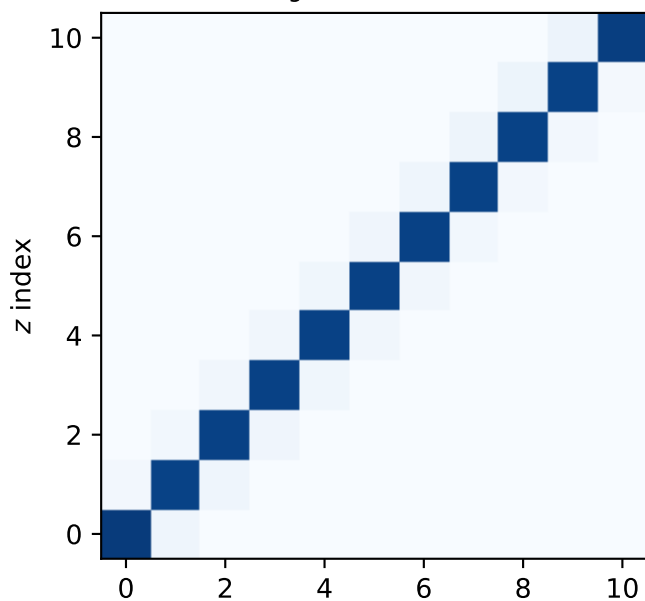
i	z	P(same) T	P(same) FT	P(neigh) T	P(neigh) FT	matched
0	-0.429	0.305	0.379	0.379	0.329	yes
1	-0.341	0.284	0.288	0.472	0.475	yes
2	-0.252	0.326	0.334	0.473	0.478	yes
3	-0.164	0.358	0.370	0.480	0.483	yes
4	-0.076	0.376	0.391	0.483	0.484	yes
5	0.013	0.379	0.394	0.483	0.484	yes
6	0.101	0.366	0.379	0.481	0.483	yes
7	0.189	0.338	0.348	0.476	0.480	yes
8	0.278	0.300	0.306	0.466	0.472	yes
9	0.366	0.254	0.257	0.456	0.461	yes
10	0.454	0.257	0.306	0.375	0.348	yes

Regime 2: $\sigma = 0.0095$. Moment match 0/11 rows.

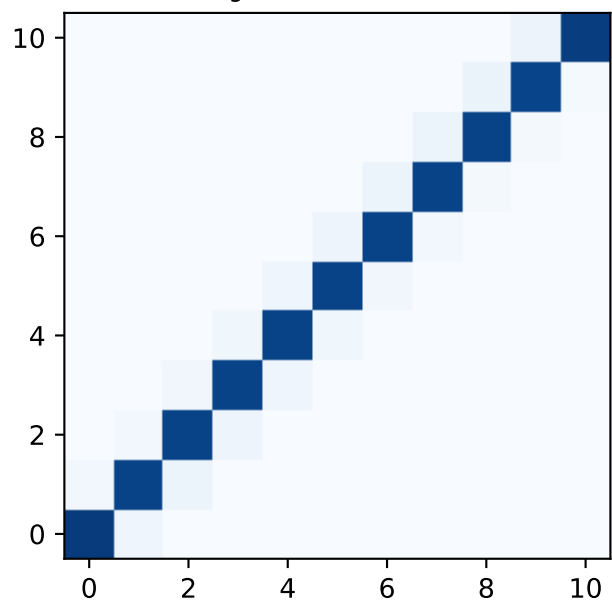
i	z	P(same) T	P(same) FT	P(neigh) T	P(neigh) FT	matched
0	-0.429	1.000	1.000	0.000	0.000	no
1	-0.341	1.000	1.000	0.000	0.000	no
2	-0.252	1.000	1.000	0.000	0.000	no
3	-0.164	1.000	1.000	0.000	0.000	no
4	-0.076	1.000	1.000	0.000	0.000	no
5	0.013	1.000	1.000	0.000	0.000	no
6	0.101	1.000	1.000	0.000	0.000	no
7	0.189	1.000	1.000	0.000	0.000	no
8	0.278	1.000	1.000	0.000	0.000	no
9	0.366	1.000	1.000	0.000	0.000	no
10	0.454	1.000	1.000	0.000	0.000	no

$P(z' | z, s)$: Tauchen (left) and Farmer--Toda (right)

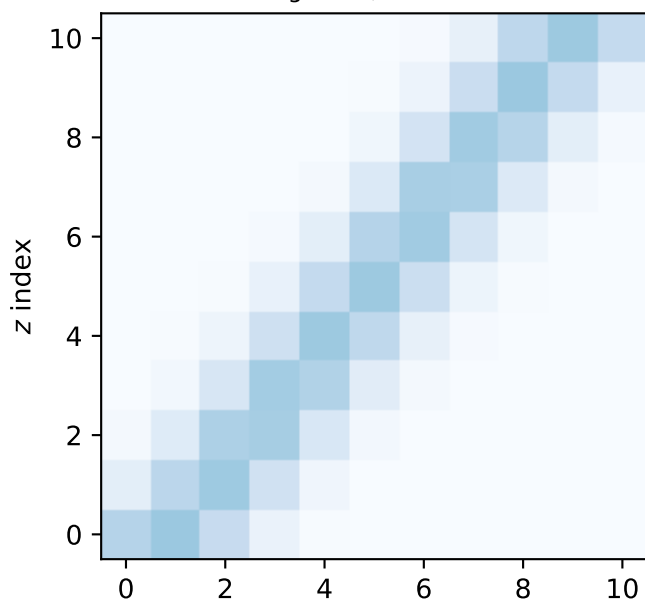
regime 0, Tauchen



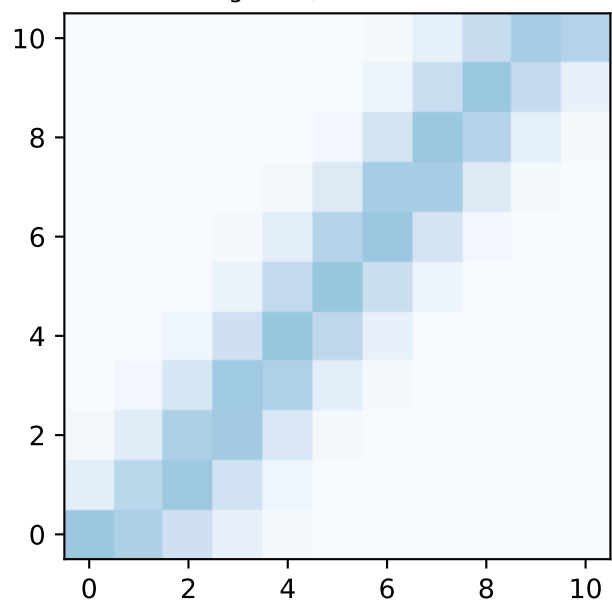
regime 0, Farmer-Toda



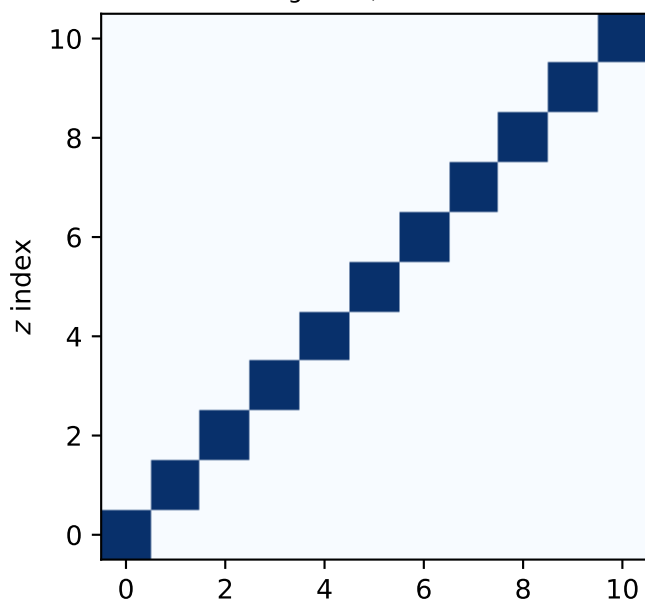
regime 1, Tauchen



regime 1, Farmer-Toda



regime 2, Tauchen



regime 2, Farmer-Toda

